

- Retirement planning.
- Outpacing inflation.
- Philanthropy.
- Tax management.
- Managing the proceeds from a sale of a business.
- Estate planning.
- Generational wealth transfers.

The simplest investing goals are saving to buy a home, pay for college, or retire.

A good advisor will create a plan that addresses all of these. They are there to assist you when you have life events that change your circumstances. The best of them will talk you off the ledge when markets are going through their regular convulsions.

We all go through our financial life cycles in three phases: *accumulation*, *preservation*, and *distribution*. These phases track with age, income, and assets. Younger people (20s and 30s) have a longer time horizon, less cash flow, and the ability to embrace more risk for potentially greater returns in their accumulation phase. If they can withstand the volatility, they should have an all-equity (100%) portfolio.^{[401](#)}

Middle-aged people (40s and 50s) typically have more assets—house(s), investment portfolios, business ownership, 401(k)/IRA, and greater income. However, they also have greater future obligations (paying for college and saving for retirement). They have a moderate time horizon and should embrace a little less risk (80/20 or 70/30).^{[402](#)}

People closer to retirement (60s and 70s) have less potential time for markets to work in their favor and should take on less risk. The distribution phase is exactly what you might guess: Drawing down your assets to live on them in retirement, including Social Security distributions and pensions.